

Shannon's Demon on Shitters

By Margin Syndicate · LinkedIn post

We've spent the week rebuilding our deployment logic around a new execution structure — a constant-gross, two-legged position that holds both long and short simultaneously and rebalances to a target ratio at every price threshold. Every rebalance banks the winning leg's profit and reloads it. The mechanics are old — constant-mix rebalancing, the same principle behind Shannon's demon — but running it at derivatives leverage on netted margin makes it something new for us: volatility itself becomes the revenue line.

That structure now runs in three configurations, and the split is a direct reaction to the current regime — not a forecast of the next one.

1. The neutral book — 50/50, zero tilt.

The bulk of the alt universe is printing random walks right now: violent, directionless, untradeable by conviction. That's not a defect, it's inventory. A balanced book on these names carries near-zero directional exposure and harvests the oscillation — paid by movement, agnostic to destination. The one condition is regime: chop pays, sustained trend charges. So these positions are audited on clip rate, not P&L. When a name stops wiggling and starts trending, it leaves the book.

2. The signal book — tilted ratios on confirmation.

Where we hold an actual timeframe-based view, the same structure runs with a fixed tilt — say 60/40. The tilt is the position; the rebalancing wraps a volatility harvest around it and maintains the ratio through any path. No averaging down, no schedule adding to a losing thesis — conviction sizes the tilt, the structure just holds it and clips the noise. Direction from us, maintenance from the machine.

3. The depressed-asset book — modest long tilt on names the market has left for dead.

Cycle lows, crowded shorts, negative funding paying the long side to wait. Remaining downside on something already down 90% is arithmetically small; the upside when positioning unwinds is not. We're not predicting which names recover — we're holding the posture this regime pays, with the harvest and the funding carry covering the cost of patience. Sized as one correlated basket, with hard exit rules, because that's what it is.

Three books, one structure, different ratios. None of it is prediction. The market is choppy, directionless, and crowded short at the lows — so we hold balanced harvesters, tilt only on confirmation, and get paid to wait where the crowd is paying. When the regime changes, the ratios change. That's the whole system.

Currently in staged testing before general rollout.

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